



The World Bank

Somalia Transformational Access and Infrastructure Resilience Program, Phase 1 (P513127)

Project Information Document (PID)

Concept Stage | Date Prepared/Updated: 07-Feb-2026 | Report No: PIDDC01431



BASIC INFORMATION

A. Basic Project Data

Project Beneficiary(ies)	Operation ID	Operation Name	
Somalia, Federal Republic of	P513127	Somalia Transformational Access and Infrastructure Resilience Program, Phase 1	
Region	Estimated Appraisal Date	Estimated Approval Date	Practice Area (Lead)
EASTERN AND SOUTHERN AFRICA	16-Mar-2026	28-Apr-2026	Transport
Financing Instrument	Borrower(s)	Implementing Agency	
Investment Project Financing (IPF)	Ministry of Finance	Ministry of Transport and Civil Aviation, Ministry of Public Works, Reconstruction and Housing	

Proposed Development Objective(s)

to improve the safety, climate resilience and performance of selected infrastructure, and improve the capacity of relevant institutions

PROJECT FINANCING DATA (US\$, Millions)

Maximizing Finance for Development

Is this an MFD-Enabling Project (MFD-EP)?	Yes
Is this project Private Capital Enabling (PCE)?	No

SUMMARY

Total Operation Cost	100.00
Total Financing	100.00
of which IBRD/IDA	100.00
Financing Gap	0.00

DETAILS

World Bank Group Financing



International Development Association (IDA)	100.00
IDA Grant	100.00
Environmental and Social Risk Classification	Concept Review Decision
Substantial	The review did authorize the preparation to continue

B. Introduction and Context

Country Context

Somalia has made significant progress in recent years by consolidating its federal system of governance, strengthening government institutions, and supporting inclusive private sector-led growth. The country reached the Heavily Indebted Poor Countries (HIPC) Completion Point on December 13, 2023, securing substantial debt relief that reduced Somalia’s external debt to 6 percent of the gross domestic product (GDP). Despite this progress, Somalia continues to face significant governance, security, and development challenges that hinder state performance and slow transition out of Fragility, Conflict, and Violence (FCV). While there has been incremental gains in financing and institutional capacity to deliver basic services, overall service delivery remains limited, particularly in conflict-affected areas. Decades of instability have constrained investments in physical and human capital, preventing many Somalis from reaching their full potential. Climate change pressures are expected to intensify, with more frequent and erratic droughts and floods.¹

Job creation in Somalia has been constrained by recurrent climate and conflict-related shocks, alongside low labor force participation. Overall vulnerability to shocks has limited economic growth, averaging about 2 percent annually over the last decade, with particularly adverse effects on employment. Agriculture, employing about 65 percent of the country’s labor force, is highly vulnerable to climate shocks and insecurity. The 2016-2017 drought caused losses of \$3.25 billion, equivalent to 65 percent of GDP. Together with conflict, climate induced displacement from rural areas has significantly accelerated urbanization – with urban areas now hosting over 4 million IDPs. With only 28% of the 174 000 urban located firms classified as formal, the labor market has struggled to absorb the estimated 161,000 new workers entering yearly.

Sectoral and Institutional Context

Somalia’s economy functions largely as a fragmented set of cities, with unreliable, inefficient, and insecure transport infrastructure limiting interconnectivity and access to global markets. More than 70 percent of Somalia’s GDP is generated in urban areas, where agglomeration effects, economic clustering, and relatively improved security offers opportunities for more inclusive and resilient growth. The road links connecting these urban centers remain underdeveloped, insecure, and highly vulnerable to climate hazards, limiting the ability to leverage the nodes for sustained economic expansion. In this context, air transport often serves as the primary, and in some areas the only means of connectivity, yet it faces safety, security, and climate resilience challenges that raise costs and undermine reliability. The

¹ World Bank. 2023. “Somalia Climate Risk Review.” World Bank, Washington, D.C.



resulting high transport costs contribute to economic fragmentation.² Rural producers, particularly in agriculture and livestock, are further constrained by poor transport and insecurity, which significantly limit their access to urban markets.

The urban nodes themselves struggle to leverage their agglomeration advantage, faced with a set of common challenges, including poor internal connectivity, deteriorating infrastructure and services, recurrent disasters, and rapid growth. Rapid urbanization, widespread informality, and settlement on marginal land have driven up the costs of basic service provision and exacerbated drainage problems. Consequently, recurrent flooding and other disasters continue to displace hundreds of thousands, creating a vicious cycle. Furthermore, the urban nodes are internally fragmented, limiting access for workers and job seekers and increasing costs of access. These challenges are compounded by strained municipal capacities and underdeveloped national and local emergency management systems, which remain heavily reliant on international support. As a result, cities and towns are hindered from fully functioning as engines of jobs, trade, and inclusive growth.

Reducing the functional economic distance between these cities through strategic, coordinated and sustained corridor development can fuel integrated economic regions and unlock critical economies of scale.³ Progressive approaches to regional transport development corridors⁴ aim to leverage the contributions of connected catchments, known as “basins of integration” by synchronizing multisectoral investments to unlock regional economic development. A study⁵ on the potential impact of infrastructure development on the Horn of Africa (HoA) found that coordinated expansion in access to roads, electricity, and internet, could drive structural change in employment, with an estimated 12 percent increase in the share of services of employment. The same study also estimated that development of key economic corridors, combined with trade facilitation measures, could raise real income in Somalia by 6.3 percent. In terms of disaster impacts, the 2023 floods caused over \$29.7 million in transport infrastructure losses and even greater economic disruptions.⁶

The governance needed to unlock the growth potential of these economic basins of integration remains fragmented, with responsibilities split across federal and sub-national authorities and limited options for sustainable revenue generation. In roads, the Ministry of Public Works, Reconstruction, and Housing (MoPWRH) leads national development, but its mandate overlaps with the Ministry of Transport and Civil Aviation (MoTCA) and Federal Member States (FMS). City governments have growing responsibilities, including urban road development and emergency response, yet disputes exist between local, state, and federal levels. For disaster risk management, the Somalia Disaster Management Agency (SODMA) coordinates policy and response across levels of government. In the aviation, MoTCA oversees the sector, while the Somali Civil Aviation Authority (SCAA) serves as both regulator and as an Airports Authority. Across all sectors, operations and maintenance are underfunded, and generated revenues are diverted to general budget needs. For example, while aviation contributed \$34.8 million to domestic revenue in 2024, sector budgets remain insufficient. Aligning aviation taxes and fees with international standards could potentially triple revenues but will require stronger fiscal regulation, transparent revenue retention, and improved governance.

Relationship to CPF

² According to the World Bank (*Somalia Country Economic Memorandum: Towards an Inclusive Jobs Agenda*, Washington, DC: World Bank, June 2021), rice prices in Dinsoor are up to 60 percent higher than in Mogadishu and 30 percent higher than in Baidoa, with transport costs to major cities ranging from US\$20 to US\$50 per ton.

³ World Bank. “World Development Report: Reshaping Economic Geography”. 2009

⁴ West Africa Development Corridor Strategy (P180071). World Bank. 2024

⁵ Matias Herrera Dappe and Mathilde Lebrand. “Infrastructure and Structural Change in the Horn of Africa”. World Bank. 2021

⁶ World Bank. “Somalia Floods Rapid Post Disaster Needs Assessment”. 2024



The Country Partnership Framework (CPF) for FY24–28 supports Somalia in building a stable and resilient state by improving basic services, fostering inclusive private sector growth, and enhancing infrastructure. The program contributes to CPF goals by strengthening sector governance and revenue generation, improving climate-resilient infrastructure, and expanding connectivity. These efforts promote trade, service delivery, climate resilience, job creation, and address key growth and trade barriers identified in the Country Private Sector Diagnostic (CPSD).⁷ A formal Public-Private Dialogue Platform for the transport sector is under consideration to bring together investors, government entities, and civil society organizations for structured consultation and pipeline development.⁸ The proposed program is Paris-aligned, incorporating adaptation and mitigation measures anchored in key FGS climate and sectoral policies to enhance infrastructure resilience and logistics efficiency, including the Nationally Determined Contributions, National Adaptation Plan Framework, National Climate Change Policy, and the NTP. It also responds to key constraints identified in the Somalia Country Climate and Development Report (CCDR) related to climate resilient access and comprehensive disaster risk management.

C. Proposed Development Objective(s)

The Project Development Objective is to improve the safety, climate resilience and performance of selected infrastructure, and improve the capacity of relevant institutions

Key Results (From PCN)

Proposed program results indicators:

- Beneficiaries with enhanced resilience to climate risk
- People that benefit from improved access to sustainable transport infrastructure and services
- More and better-paid jobs created and enabled
- Implemented reforms supporting private sector development

D. Concept Description

The Project Development Objective of MPA Phase 1 (“the project”) is to improve the safety, climate resilience and performance of selected infrastructure, and improve the capacity of relevant institutions. This phase will lay the foundation for subsequent phases through incremental scale-up, creating a national platform for stakeholder engagement, bundling infrastructure implementation modalities, and ensuring resilient access to facilitate the movement of people and goods to future project sites, while strengthening urban resilience, ensuring service continuity, and enhancing emergency preparedness. Activities will be prioritized based on agreed criteria, including criticality in ensuring safe and resilient connectivity throughout the country, as well as addressing key bottlenecks in the delivery of urban services in regional hubs, and maximizing sustainable job creation.

Pillar 1- Enabling Resilient Infrastructure for Access to Jobs and Growth

Under Pillar 1, the project will prioritize ensuring safe, secure, and resilient access. The final list of activities is under discussion and will be established during preparation, however interventions are expected to include:

⁷ *Somalia Country Private Sector Diagnostic: Creating Markets in Somalia – Unlocking Private Sector-Led Growth at a Critical Juncture of Somalia’s Development*. World Bank Group. 2024

⁸ Ministry of Planning, Investment & Economic Development. (2025). National Transformation Plan (NTP) 2025–2029. Federal Government of Somalia.



- **Resilient airports and airspace:** i) Upgrade facilities at Mogadishu and regional hubs⁹ to meet international standards, including airfield lighting, screening equipment, reliable power and water supply, airfield rescue and firefighting facilities and including Automated Weather System (AWS) linked to national early warning services; ii) upgrade select local priority airstrips to ICAO Aerodrome Code 3C standards, ensuring safe domestic operations and better connectivity for humanitarian assistance, socio-economic development, and commercial trade;¹⁰ and iii) installation of critical equipment for air navigation services throughout the country.
- **Urban resilience and connectivity:** Enhance access to urban services through municipal infrastructure investments including i) robust drainage systems; ii) climate-resilient access roads in and around urban areas, including in residential and commercial zones; and iii) integration with national early warning and response mechanisms.¹¹
- **Economic Corridor Development:** Upgrade key economic corridor segments to facilitate the movement of people and goods, including roadway improvements, trade facilitation, and the development of aligned linear infrastructure (such as power transmission and fiber optic connectivity).

Pillar 2 - Institutional Transformation and Capacity Building

To ensure coordinated and efficient infrastructure implementation, this subcomponent will establish mechanisms for all phases of the MPA while supporting planning for future phases. In particular, it will: i) create a high-level coordination and technical platforms chaired by the MOF to align phases and resolves, overlaps with sectoral mechanisms (e.g., MoPWRH, disaster management agencies, and cities); ii) conduct economic basin level assessments on jobs and growth, localizing and tailoring national level work underway (i.e., CPSD, CEM, CPRJ, and the Jobs Platform) in covering value chains, cold chain needs, municipal finance – including performance incentives for local governments, housing and land, urban planning, risk mapping, and emergency preparedness; and iii) support preparation of any required feasibility or design studies for future phases. At the FMS level, existing civil servant capacity will be leveraged for quality assurance with targeted capacity building as needed. The “Reimagining Somali Cities: A Vision for Competitiveness and Job Creation”, along with other deliverables under the Somalia *Livable Cities* PASA, provides an initial foundation.

In addition, it will strengthen institutional and technical capacity in relevant sectors. This includes policy and operational capacity for air transport, highway, urban, and disaster management stakeholders, with a focus on establishing systems for training and licensed professionals in key sectors. Building on the success of SURP II,¹² it will also take a targeted approach to skills training in the construction sector. The project will use geospatial analytics, predictive modeling, and AI-based decision tools where feasible, building on the SURP II MIS in six cities to monitor project and risk data. Embedding digital technologies in planning improve transparency, speed implementation, and strengthen resilience.

Pillar 3 – Sustainable and Resilient Operations

This component will tackle critical challenges in infrastructure operations and maintenance, with a focus on transport, urban resilience, and job creation. Activities include developing legal, governance, and financial frameworks to leverage

⁹ Including Baidoa, Garowe, Kismayo, and Bosasso

¹⁰ The FGS and FMS used technical and socio-economic criteria—such as demand, climate resilience, proximity to higher-code airstrips, maintenance capacity, population served, and humanitarian access—to identify priority airstrips for basic access. This phase will upgrade five of nine selected airstrips (Barawe, Dhoobley, Dhusamareeb, Galkacyo, Jowhar) to ICAO Aerodrome Code 3C standards, with others to follow in subsequent phases.

¹¹ The list of cities to be included is under discussion, but potentially to include Garowe, Baidoa, Kismayo and Mogadishu

¹² SURP-II created nearly 13,000 construction jobs (24% women, 49% IDPs, 80% youth) and strengthened national engineering capacity. SURP II advanced gender inclusion by training female engineers, upskilling women in construction techniques, and embedding gender-inclusive, local hiring requirements in bidding documents



sector revenues for sustainable operations and maintenance, while embedding climate and disaster risk considerations. In aviation, the project will prepare a roadmap for establishing a Somalia Airport Authority (SAA) to clarify mandates, ownership, and accountability. It will also support reforms to the country's overflight fee structure, normalizing with regional comparators, and generating an estimated additional \$30–50 million annually in overflight revenue. To further support economic nodes, activities will include establishing municipal/local frameworks for private sector delivery of municipal services (such as through social enterprises and community-based enterprises). The component will also explore the viability of an IFC supported Challenge Fund in targeted economic nodes, focused on key value chains in the commercial areas that receive investments (such as CBD/markets).

Legal Operational Policies

Policies	Triggered?
Projects on International Waterways OP 7.50	No
Projects in Disputed Area OP 7.60	No

Summary of Screening of Environmental and Social Risks and Impacts

The project is designed as a national program, with Phase 1 establishing implementation structures and critical connectivity investments across Somalia. Investments span both urban nodes (major cities like Mogadishu, Hargeisa, Kismayo, Galkayo, Garowe, Baidoa) and rural areas, particularly through upgrades to regional airstrips and connecting infrastructure. The environment context of the proposed activities is largely hot, semi-arid to arid climate, susceptible to recurring droughts, floods, and progressive land degradation. Socially, these locations are in areas characterized by rapid population growth, with large numbers of internally displaced persons fleeing conflict and climate shocks, which strains the already limited public infrastructure and services. Somalia is highly vulnerable to climate variability, with frequent droughts and floods. The project integrates climate adaptation and disaster risk reduction measures, including resilient infrastructure design and early warning systems. Given the FCV context there is ongoing security concerns, fragmented governance, and recurrent climate disasters. The project's design incorporates conflict sensitivity, inclusive stakeholder engagement, and emergency preparedness to address these risks. Most activities are expected to occur within existing infrastructure footprints, minimizing risks to high-biodiversity areas. However, some rural airstrips and corridors may be near sensitive ecosystems, requiring careful screening and mitigation and others (e.g., airport-city connector roads, flood mitigation infrastructure) may have indirect impacts beyond the immediate project footprint.

CONTACT POINT

World Bank



Adam Stone Diehl
Senior Transport Specialist

Susan Apudo Owuor
Senior Transport Specialist

Nandya Thalyta Yuwono
Senior Urban Specialist

Borrower/Client/Recipient
Ministry of Finance

Implementing Agencies
Ministry of Transport and Civil Aviation
Ministry of Public Works, Reconstruction and Housing

FOR MORE INFORMATION CONTACT

The World Bank
1818 H Street, NW
Washington, D.C. 20433
Telephone: (202) 473-1000
Web: <http://www.worldbank.org/projects>

APPROVAL

Task Team Leader(s):	Adam Stone Diehl, Susan Apudo Owuor, Nandya Thalyta Yuwono	
----------------------	--	--

Approved By

Practice Manager/Manager:	Binyam Reja	28-Jan-2026
Country Director:	Qimiao Fan	07-Feb-2026